Caltech
Investment Office

BEM 103

Introduction to Endowment Management

January 16, 2026

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Dual Missions, Universal Appeal

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Caltech Mission Statement

The mission of the California Institute of Technology is to expand human knowledge and benefit society through **research integrated with education**. We investigate the most challenging, fundamental problems in science and technology in a singularly collegial, interdisciplinary atmosphere, while educating outstanding students to become creative members of society.

… in the Investment Office

The Caltech Investment Office exists to **secure** and **grow permanent funding** for the mission of the California Institute of Technology.

We investigate the most challenging, fundamental problems in **investing** ~~science and technology~~ in a singularly collegial, interdisciplinary atmosphere, while educating outstanding students to become creative members of society.

S&P 500 Price

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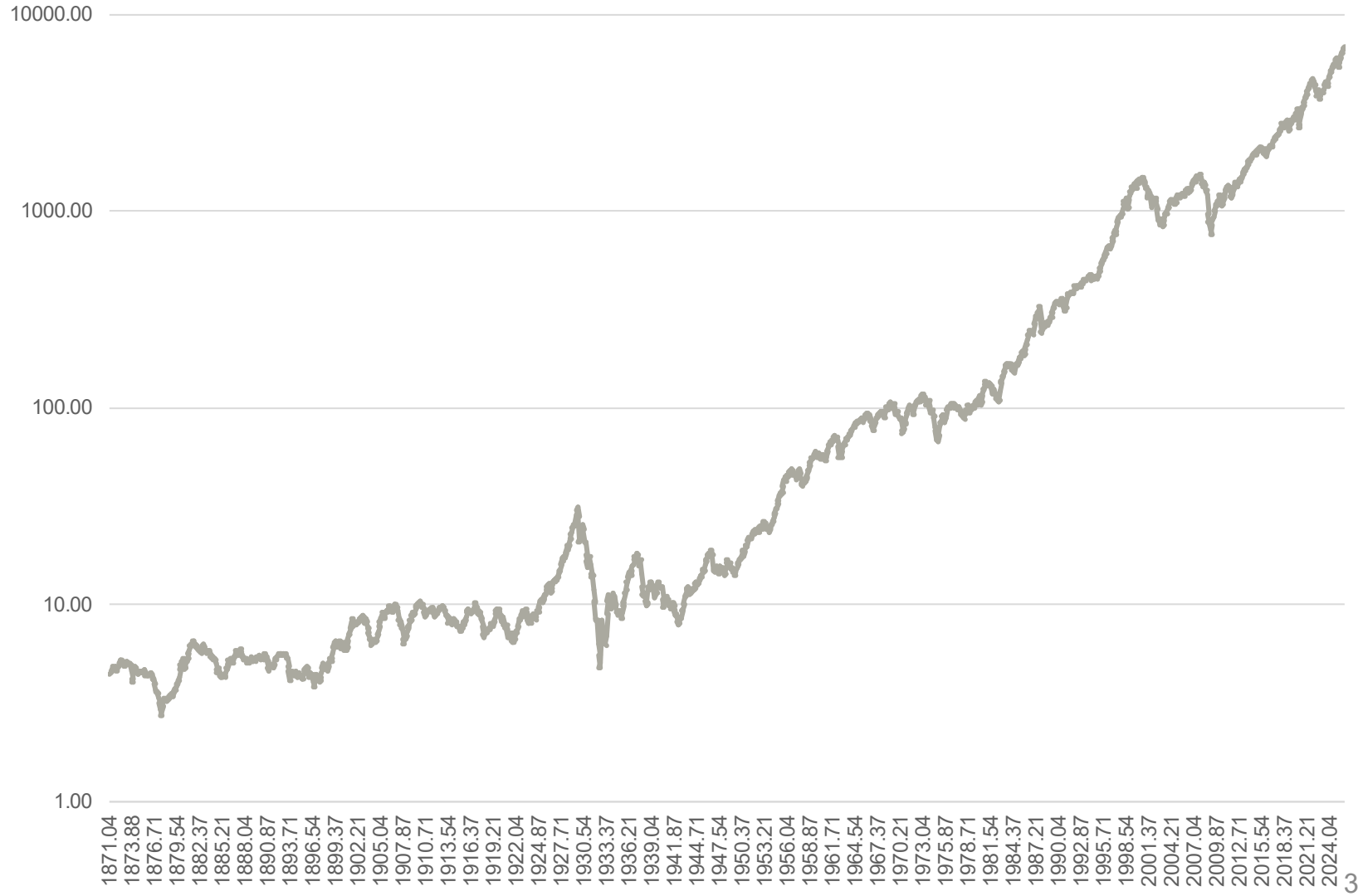

S&P 500 Fundamentals

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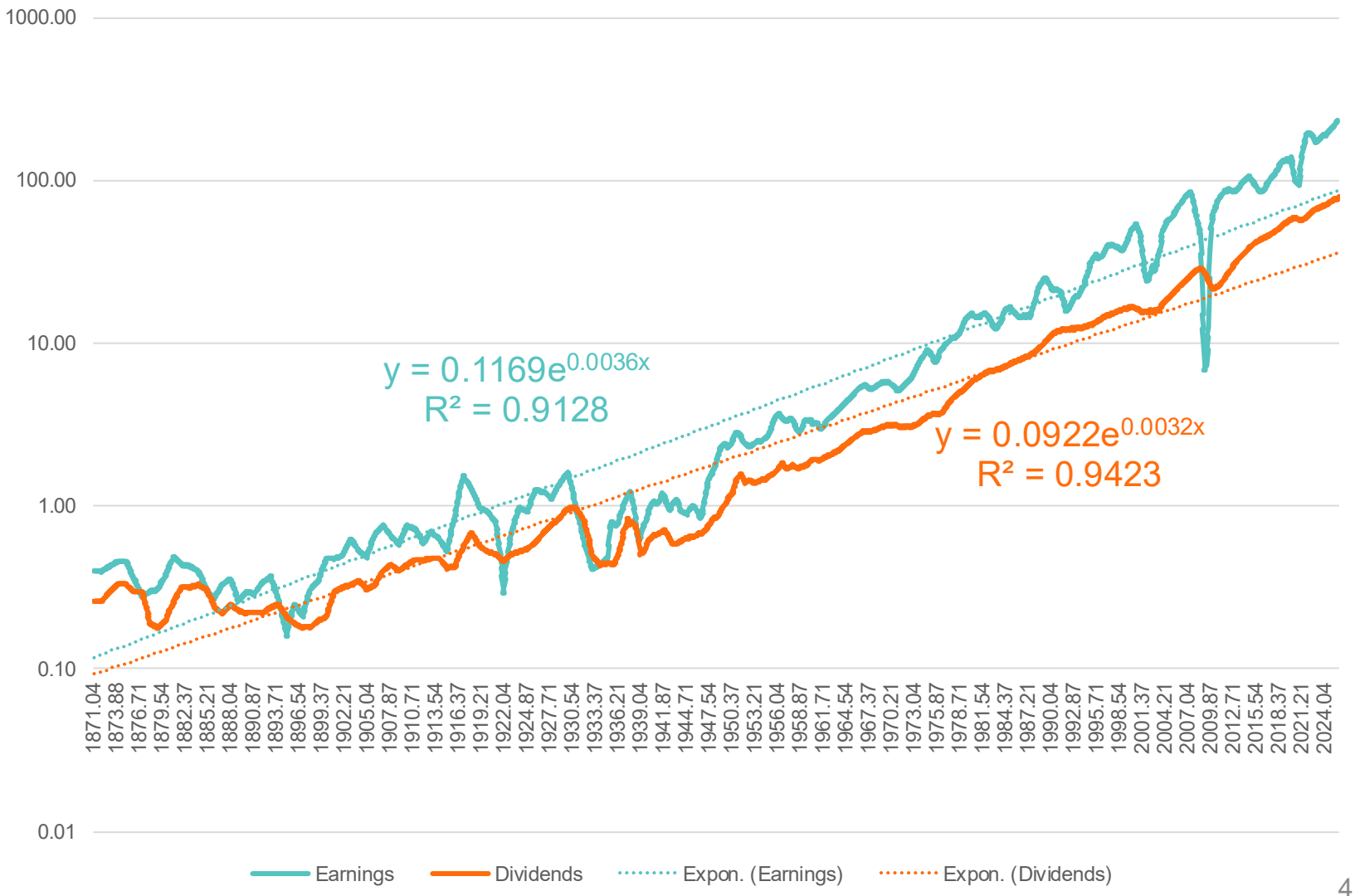

Price versus Fundamentals

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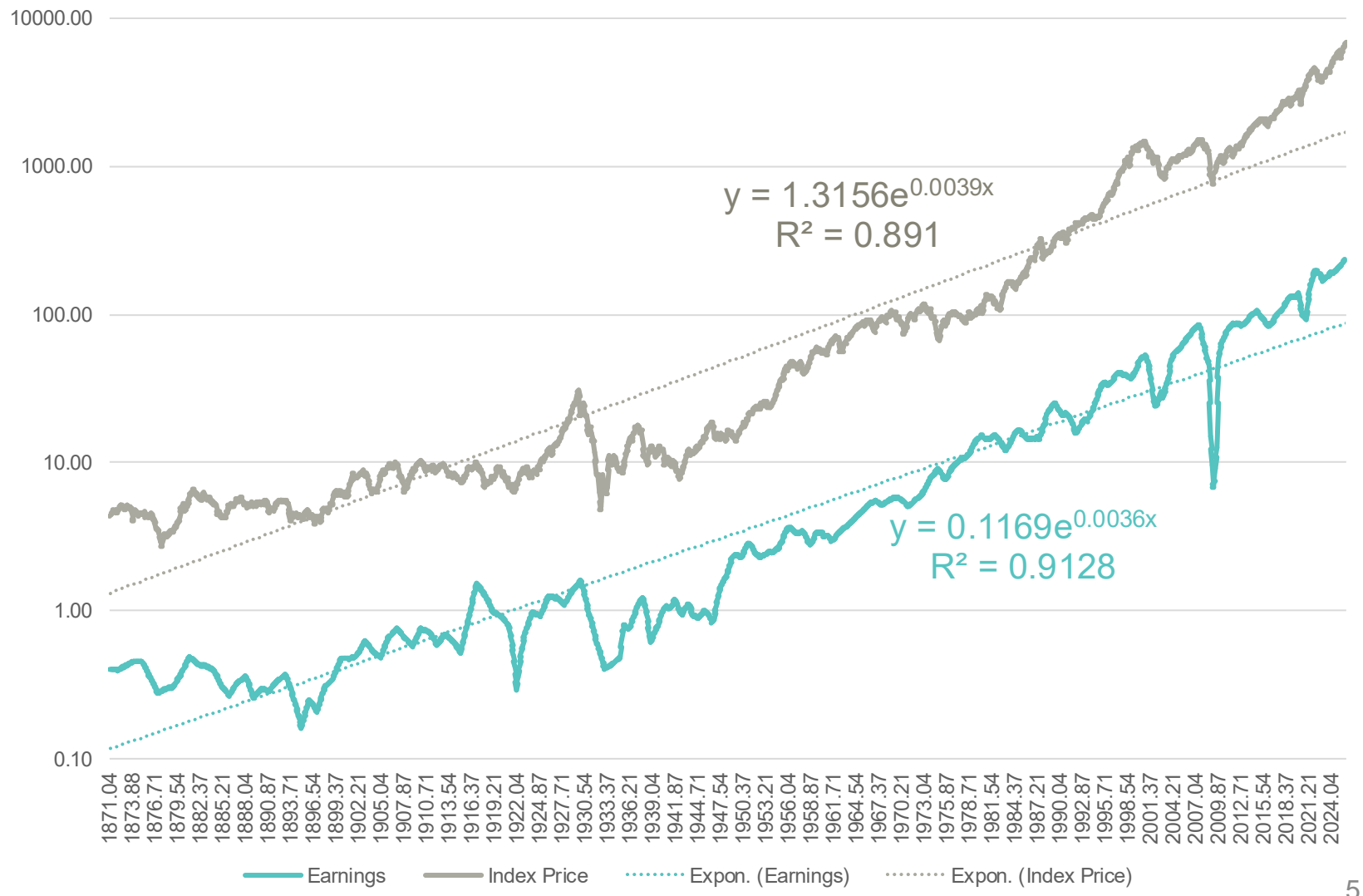

Valuation: Price-Earnings Ratio

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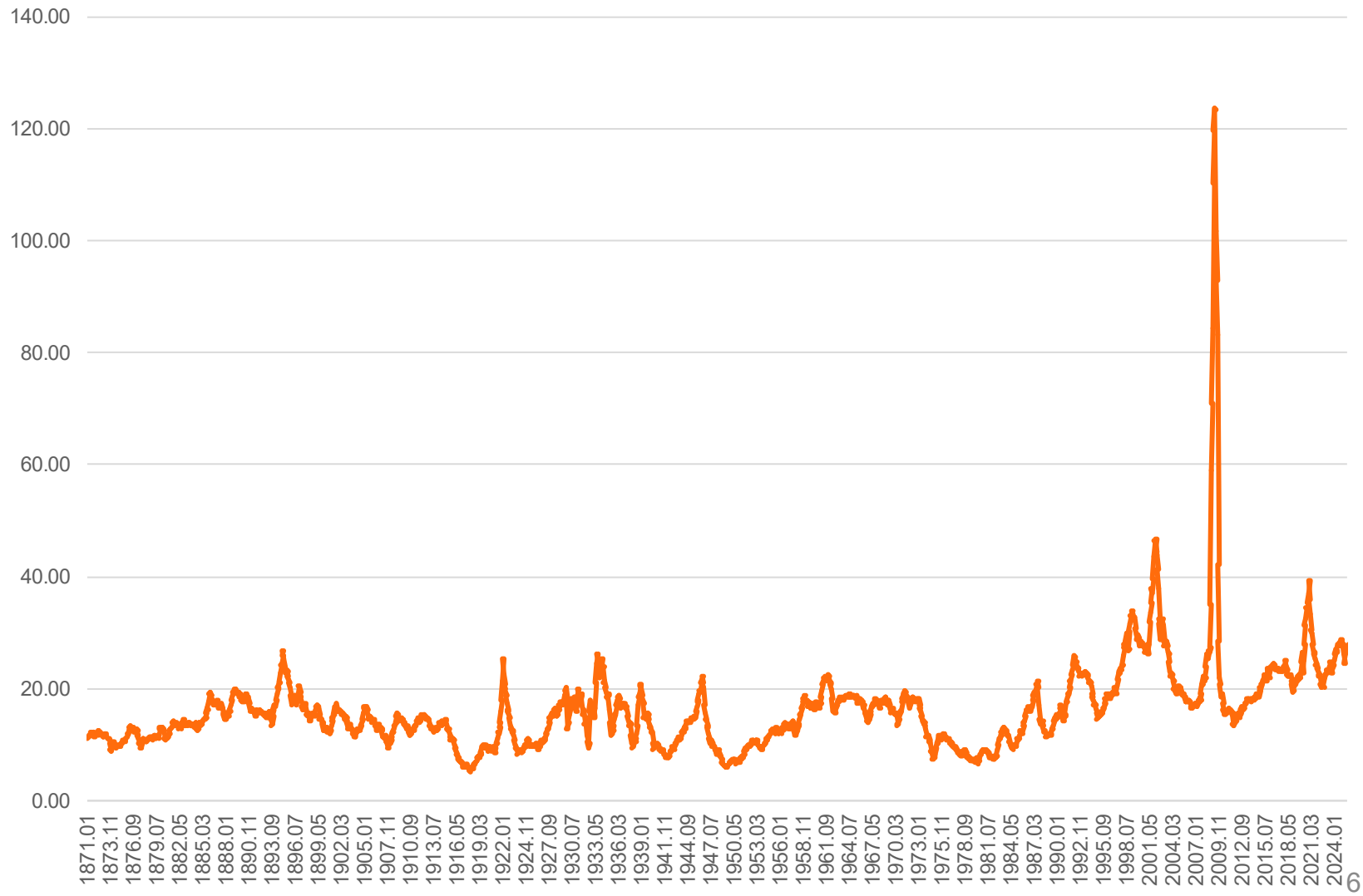

Valuation: Earnings Yield

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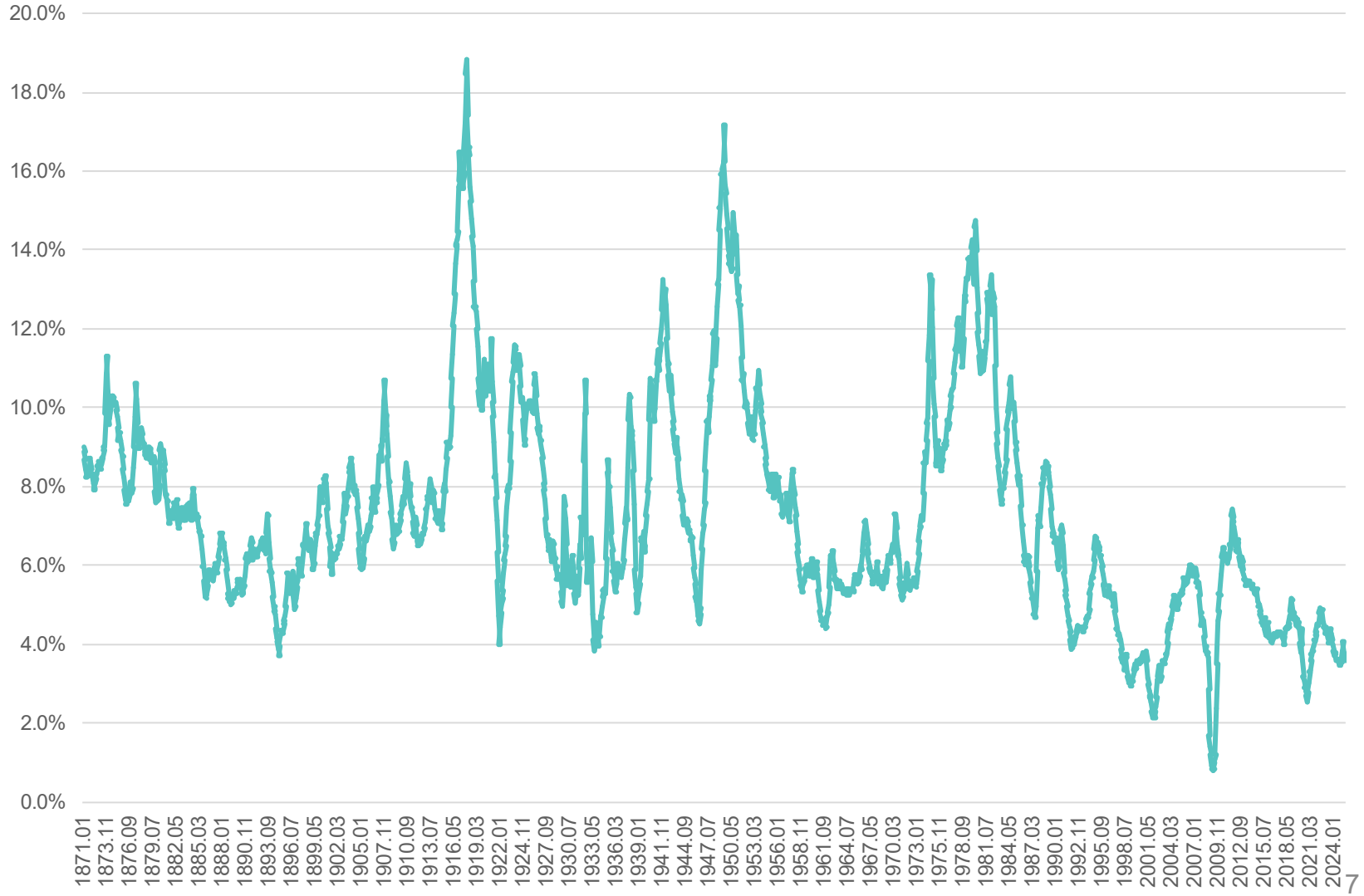

Bond Yield (10y Treasury in %)

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Endowment Fast Facts

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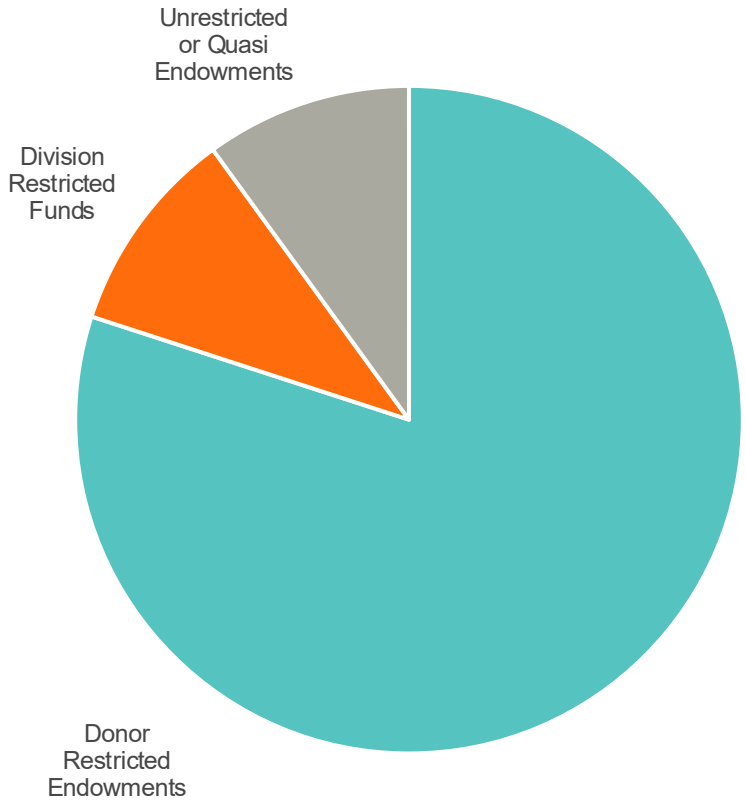

"Endowment Dependence"

$$\frac{\text{2025 Payout}}{\text{2025 Budget}} \quad \frac{\$226.5 \text{ million}}{\$972.3 \text{ million}} = \mathbf{23\%}$$

"Endowment Payout Rate"

$$\frac{\text{2025 Payout}}{\text{2025 Value}} \quad \frac{\$226.5 \text{ million}}{\$4.42 \text{ billion}} = \mathbf{5.1\%}$$

"Cost of Capital"

5.1% payout rate
+ inflation "guess"
+ some conservativism = **8.5%**

Our Program Today

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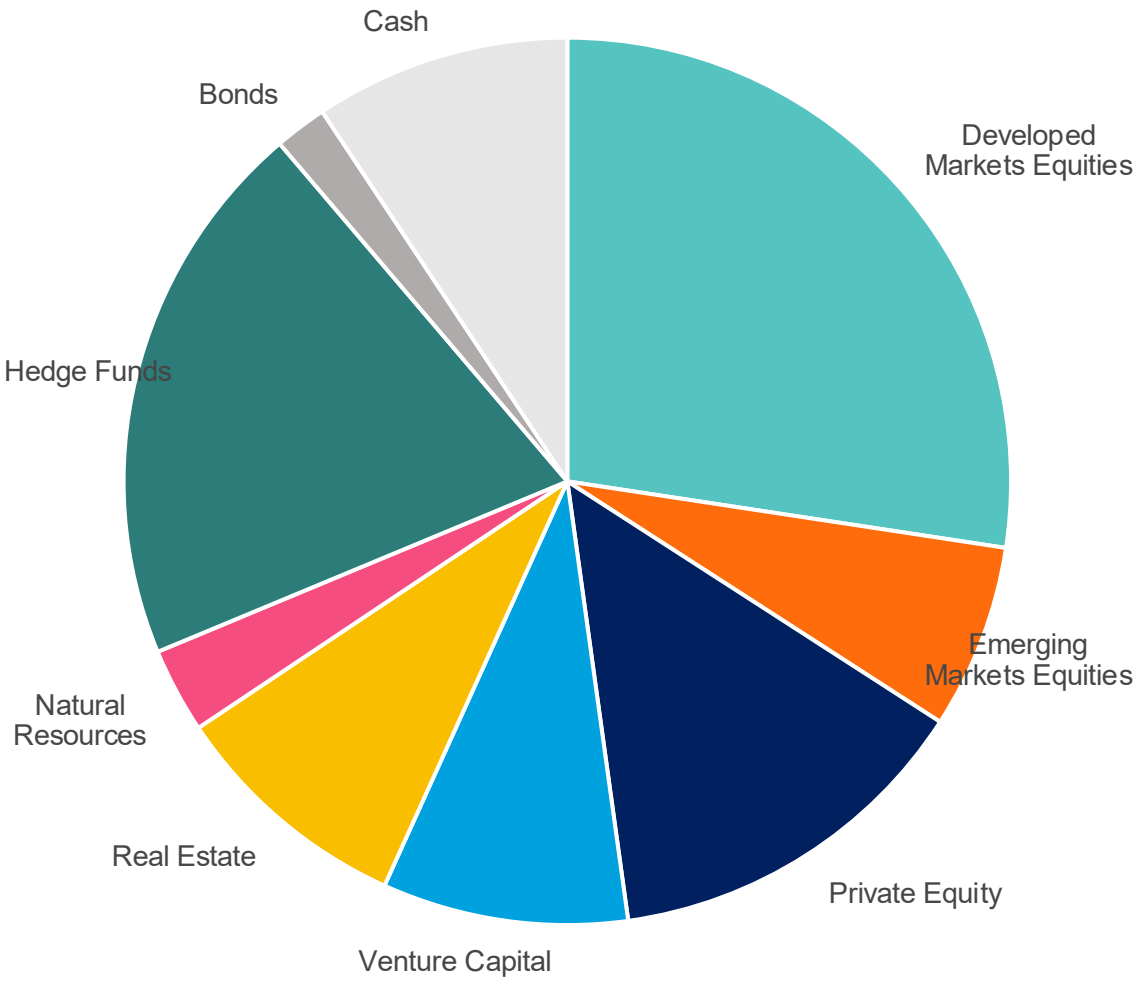

Role of the Investment Office:

1. Set the right mix of strategies
2. Select the right vendors
3. Manage well by buying low and selling high

Managing Cash & Fixed Income

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- Cash management (isolate yield)
- Shorter-term bonds (credit risk, isolate yield)
- STRIPS (isolate duration for diversification benefits)
- Actively managing the mix

Questions?

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- Email me: Ken.Lee@caltech.edu